IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 22(ND)/2023

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 88(ND)/2022

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

M/s. MAHIMA DISTRIBUTORS PRIVATE LIMITED

..... Petitioner Company No. 1/ Transferor Company No. 1

AND

M/s. ISHW PROPERTIES PRIVATE LIMITED

..... Petitioner Company No. 2/ Transferor Company No. 2

AND

M/s. JAG PROPERTIES AND APARTRMENTS PRIVATE LIMITED

..... Petitioner Company No. 3/ Transferor Company No. 3

AND

M/s. JGV PROPERTIES PRIVATE LIMITED

..... Petitioner Company No. 4/ Transferor Company No. 4

AND

M/s. VIDH PROPERTIES PRIVATE LIMITED

..... Petitioner Company No. 5/ Transferor Company No.5

WITH

M/s. SABH INFRASTRUCTURE LIMITED

..... Petitioner Company No. 6/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered on 31.01.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioners	:	Mr. Rishabh Jain, Adv.
For the IT Department	:	Mr. Puneet Rai, Mr. Nikhil Jain, Advs.
For the OL	:	Ms. Tanuja Rawat, Adv.
For the RD	:	Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition has been filed jointly by the M/s. Mahima Distributors Private Limited, (Petitioner Company No. 1/ Transferor Company No. 1), M/s. ISHW Properties Private Limited, (Petitioner Company No. 2/ Transferor Company No. 2), M/s. JAG Properties and Apartments Private Limited (Petitioner Company No. 3/ Transferor Company No. 3), M/s. JGV Properties Private Limited (Petitioner Company No. 4/ Transferor Company No. 4), M/s. Vidh Properties Private Limited (Petitioner Company No. 5/ Transferor Company No. 5) and M/s. Sabh Infrastructure Limited (Petitioner Company No. 6/ Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

   The Registered Office of the Transferor Company No. 1 to 5 and Transferee Company is presently situated at C-27, Second Floor, Pamposh Enclave, New Delhi - 110048 and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. The Transferor Company No. 1 namely M/s. Mahima Distributors Private Limited, bearing CIN: U51109DL2007PTC283086 was incorporated on 19/02/2007 under the provisions of the Companies

Act, 1956 as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 1 is situated at C-27, Second Floor, Pamposh Enclave, New Delhi - 110048. The Authorized Share Capital of the Company is Rs. 42,00,000/- divided into 4,20,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 37,00,000/- divided into 3,70,000 Equity Shares of Rs. 10 each.

3. The Transferor Company No. 2 namely M/s. ISHW Properties Private Limited, bearing CIN: U45200DL2006PTC155273 was incorporated on 07/11/2006 under the provisions of the Companies Act. 1956 as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 2 is situated at C-27, Second Floor, Pamposh Enclave, New Delhi - 110048. The Authorized Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each.
4. The Transferor Company No. 3 namely M/s JAG Properties and Apartments Private Limited, bearing CIN: U45200DL2006PTC155287 was incorporated on 08/11/2006 under the provisions of the Companies Act. 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 3 is situated at C-27, Second Floor, Pamposh Enclave, New Delhi - 110048. The Authorized Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each.
5. The Transferor Company No. 4 namely M/s. JGV Properties Private Limited, bearing CIN: U45200DL2006PTC155274 was incorporated on

07/11/2006 under the provisions of the Companies Act. 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT OF Delhi and Haryana. The registered office address of Transferor Company No. 4 is situated at C-27, Second Floor, Pamposh Enclave, New Delhi - 110048. The Authorized Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each.

6. The Transferor Company No.5 namely M/s. Vidh Properties Private Limited, bearing CIN: U45200DL2006PTC155289 was incorporated on 08/11/2006 under the provisions of the Companies Act, 1956 as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 5 is situated at C-27, Second Floor, Pamposh Enclave, New Delhi - 110048. The Authorized Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 10,00,000/- divided into· 1,00,000 Equity Shares of Rs. 10 each.
7. The Transferee Company namely M/s. Sabh Infrastructure Limited, bearing CIN: U45201DL1987PLC028761 was incorporated on 31/07/1987 under the provisions of the Companies Act, 1956 as a Public Company Limited by Shares (Non-govt. Company) with Registrar of Companies, NCT of Delhi. The registered office address of the Transferee Company is situated at, C-27, Second Floor, Pamposh Enclave, New Delhi - 110048. The Authorized Share Capital of the Transferee Company is Rs. 1,50,00,000/- divided into 1,50,000 Equity Shares of Rs. 100 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 1,30,00,000/- divided into 1,30,000 Equity Shares of Rs. 100 each.

8. It is stated that the Transferee Company viz., M/s. Sabh Infrastructure Limited has moved the necessary second motion Petition being **CP(CAA)–22(ND)/2023** on 07.02.2023, connected with the first motion Application being **CA(CAA)–88(ND)/2022**, before the National Company Law Tribunal, New Delhi.
9. The Board of Directors of the Transferor Companies and of the Transferee Company in their respective Board Meetings dated 15.07.2022 considered and unanimously approved the proposed Scheme of Amalgamation.
10. The Rationale for the Scheme of Amalgamation is as follows:
    a) *"The amalgamation of the Transferor Companies with the Transferee Company would inter alia have the following benefits: As a result of amalgamation, there would be reduction of the companies leading to reduction in compliance requirements of multiple companies.*
    b) *The amalgamation will result in the consolidation of the business operations undertaken by the Transferor Company and Transferee Company.*
    c) *The amalgamation will result in reduction in overheads, administrative, managerial and other optimal utilization of various resources due to consolidation of activities. There would be no duplication of efforts and division of resources.*
    d) *Greater efficiency in cash management of the Transferee Company and access to cash flow generated by the combined business.*
    e) *The Scheme shall be beneficial and in the best interests of the shareholders, debenture holders of the Transferor Company and the Transferee Company and all concerned."*
11. This Adjudicating Authority by its order dated 06.12.2022 dispensed with the requirement of holding the meeting of equity shareholders and unsecured creditors of all the Transferor Companies and convened the meeting of secured creditors of the Transferee Company /Applicant Company No. 6. In pursuance thereof the meeting was held and the secured creditors in the said meeting have approved the scheme.

12. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices. This Tribunal vide order dated 24.02.2023 directed to issue notice to the Regional Director (Northern Region) - Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana - Ministry of Corporate Affairs, Official Liquidator attached to the High Court Of Delhi and Income Tax Authorities, Securities Exchange Board of India and the RERA-GOA and such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also directed that the notice be published in two newspapers i.e., Business Standard (English Edition) and Business Standard (Hindi Edition) Delhi edition.
13. It is submitted by the Petitioners that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 22.03.2023 by confirming that the aforesaid Notices of the present Company Petition were published on 15.03.2023 in Business Standard (English Edition) on 03.01.2023 and in Jansatta (Hindi Edition) on 01.01.2023 Delhi edition. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal dated 24.02.2023.
14. The Income Tax Department vide it's report dated 29.03.2023 and 17.06.2023 has not objected to the proposed scheme of the amalgamation but has made certain observations. The Petitioner Companies filed a reply in response to the observations made by the Income Tax Department, wherein the Petitioner Companies gave an undertaking to appropriately comply with the observations made by the Income Tax Department.
15. The Real Estate Regulatory Authority- GOA (RERA-GOA) vide it's report dated 28.03.2023 has not objected to the proposed scheme of the amalgamation but has made certain observations. The Petitioner Companies filed a reply dated 28.10.2023 in response to the

observations made by the Real Estate Regulatory Authority- GOA (RERA-GOA), wherein the Petitioner Companies gave an undertaking to appropriately comply with the observations made by the Real Estate Regulatory Authority- GOA (RERA-GOA).

16. The Regional Director along with the Registrar of Companies vide it's report dated 01.06.2023 has not objected to the proposed scheme of the amalgamation but has made certain observations. The petitioner companies have filed reply dated 28.10.2023 in response to the observations made by the Regional Director and Registrar of Companies, wherein the Petitioner Companies have given an undertaking to appropriately comply with the observations made by the Regional Director and Registrar of Companies.
17. The Official Liquidator vide it's report dated 30.06.2023 submitted to this tribunal stating therein that they have no objection with respect to the present scheme of amalgamation.
18. The Petitioners Companies submit that the provisions relating to the accounting treatment for the proposed amalgamation, as contained in the Scheme of Amalgamation, are in conformity with the applicable provisions of the Companies Act, 2013 and in accordance with "Pooling of Interest Method", as prescribed in Accounting Standard 14 issued by the Institute of Chartered Accountants of India ("AS 14"), as notified under the Companies Act, 1956 (which continue to be applicable in respect of Section 133 of the Companies Act, 2013), read together with Rule 7 of the Companies (Accounts) Rules, 2014, which is the applicable law in force, as on the Appointed Date. The Statutory Auditors of the Transferor Companies and the Transferee Company have confirmed the same vide Certificate dated 30.07.2022 filed by M/s. Raman Chawla & Associates, Chartered Accountants.
19. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition

(including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies.

20. It is submitted by the Petitioner Companies that this Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

21. **Analysis and Finding**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the Petitioner Companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company, their respective shareholders, creditors, employees and all concerned.

iv. Upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

22. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of Amalgamation i.e., 01.04.2022 by the Petitioner Companies is confirmed by this Tribunal.

23. This Tribunal does further order: -

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor

Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

24. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/22 (ND)/2023** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

-Sd-

(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

-Sd-

(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)